

Special Officer, Commerce, North Eastern Electricity Company of Orissa (NESCO) & Anr. v. M/s Raghunath Paper Mills Private Limited & Anr.

Supreme Court of India · Two-Judge Bench · 9 November 2012 · (2013) 2 SCC 373 · Civil Appeal No. 7899 of 2012 (arising out of SLP (C) No. 35573 of 2010) · **Civil appeal dismissed; High Court's quashing of the arrears-demand order affirmed**

HEADNOTE

Sub-clause 10(b) of Regulation 13 of the Orissa Electricity Regulatory Commission Distribution (Conditions of Supply) Code, 2004 — which bars transfer of a service connection from one consumer's name to another's until the previous occupier's arrears are cleared — applies only to a request for transfer of an existing service connection, not to an application for a fresh connection by a purchaser (here, an auction-purchaser from an Official Liquidator on an 'as is where is, whatever there is' basis) who has no privity of contract with the licensee. Since electricity dues do not constitute a charge on the premises, a purchaser cannot be compelled to clear a previous occupant's arrears as a precondition to a fresh connection unless a specific statutory rule or a validly stipulated term of supply so requires; the words 'other dues including the security as may be payable' in the relevant Regulations/Forms do not extend to arrears of the earlier consumer. Synthesising the Court's own precedents — *Isha Marbles* (arrears do not bind a bona fide third-party purchaser absent privity), *DVS Steels & Alloys* (a distributor may, however, lawfully stipulate arrears-clearance as a condition of a fresh connection where its rules/regulations permit), *Ahmedabad Electricity Co. v. Gujarat Inns* (auction-purchasers not liable for previous owners' arrears absent a specific statutory provision), and *Haryana State Electricity Board v. Hanuman Rice Mills* (summarising: arrears create no charge on the property in general law, but a supplier may recover them from a purchaser seeking reconnection/fresh connection where its statutory rules or supply conditions expressly so authorise) — the Court held that, absent such an express authorising provision (and Sub-clause 10(b) here being limited to transfers, not fresh connections), the demand for arrears as a precondition to a fresh connection was unsustainable.

HOLDING-UNITS

HOLDING-UNIT · ARREARS::transferee-liability

An arrears-clearance precondition applicable to transfer of an existing service connection does not extend to a fresh-connection application by a purchaser (e.g., an auction-purchaser of liquidated assets) who has no privity of contract with the licensee and did not seek transfer of the erstwhile consumer's connection

QUESTION

Is a company that purchased a liquidated unit's assets/premises through an Official Liquidator's auction sale, on an 'as is where is, whatever there is' basis, and that applied for a fresh electricity connection (not transfer of the erstwhile company's connection), liable to clear the erstwhile company's outstanding electricity arrears as a precondition to obtaining supply, under Sub-clause 10(b) of Regulation 13 of the Orissa Supply Code?

HOLDING

No. Sub-clause 10(b) of Regulation 13 governs transfer of an existing service connection from one consumer's name to another's, not an application for a fresh connection. The auction-purchaser here applied for a fresh connection to its own unit after purchasing the premises from the Official Liquidator, and did not seek transfer of the erstwhile company's connection; the arrears were levied against the erstwhile company, not as a charge on the premises. Synthesising *Isha Marbles v. Bihar SEB* (1995) 2 SCC 648 (electricity dues create no charge on the property and a third-party purchaser lacking privity cannot be compelled to clear them), *Paschimanchal Vidyut Vitran Nigam Ltd. v. DVS Steels & Alloys Pvt. Ltd.* (2009) 1 SCC 210 (para 10: a distributor may nonetheless lawfully stipulate, as a condition of a fresh connection, that arrears be cleared, if its statutory rules/regulations or terms of supply so permit), *Ahmedabad Electricity Co. Ltd. v. Gujarat Inns Pvt. Ltd.* (2004) 3 SCC 587 (auction-purchasers not liable for previous owners' arrears on a fresh connection absent a specific statutory provision), and *Haryana State Electricity Board v. Hanuman Rice Mills, Dhanauri* (2010) 9 SCC 145 (summarising the position: no charge on property in general law, but the supplier may recover arrears from a purchaser seeking reconnection/fresh connection where statutory rules or supply terms expressly authorise it) — the Court held that, since no such specific authorising provision applied here (Sub-clause 10(b) being confined to transfers), the demand of Rs. 79,02,262 in arrears as a precondition to the fresh connection was unsustainable, affirming the High Court's quashing of the demand order. ¶ paras 8-20

LIMITING FACTS

Respondent no. 1 purchased the Factory Unit of M/s Konark Paper & Industries Ltd. (in liquidation) via an Official Liquidator auction, on an 'as is where is, whatever there is' basis, taking possession on 28.03.2008; it applied for a fresh 100 KW/33 KV connection (executing a fresh construction-power agreement dated 27.03.2009 and depositing security), but NESCO refused supply absent clearance of Rs. 79,02,262 in arrears outstanding against the premises from the erstwhile company.

PRINCIPLE TAGS

arrears-follow-premises-not-person-fresh-connection-vs-transfer A landmark synthesis of the Supreme Court's own arrears-transferee-liability line (*Isha Marbles*, *DVS Steels*, *Ahmedabad Electricity Co.*, *Hanuman Rice Mills*), crystallising that a fresh-connection applicant with no privity of contract is not liable for a previous occupant's arrears absent an express statutory/regulatory provision so authorising, distinguishing this from a mere transfer of an existing connection; a foundational precedent for this corpus's arrears/transferee-liability cluster (SCJ-031, SCJ-037, SCJ-054, SCJ-098, SCJ-099, SCJ-125). Lead authorities: *Isha Marbles v. Bihar State Electricity Board* [1082759], *Paschimanchal Vidyut Vitran Nigam Ltd. v. DVS Steels & Alloys Pvt. Ltd.* [74832153], *Ahmedabad Electricity Co. Ltd. v. Gujarat Inns Pvt. Ltd.* [28246], *Haryana State Electricity Board v. Hanuman Rice Mills, Dhanauri* [1336616]. ¶ paras 16-19

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Isha Marbles v. Bihar State Electricity Board and Another</i> (1995) 2 SCC 648 [1082759] Supreme Court (Three-Judge Bench)	Electricity arrears create no charge over the property; an auction-purchaser lacking privity of contract with the Board cannot be compelled to clear the previous consumer's arrears as a condition of supply.	Followed as foundational authority.	Court	Followed
<i>Paschimanchal Vidyut Vitran Nigam Ltd. & Ors. v. DVS Steels & Alloys Pvt. Ltd. & Ors.</i> AIR 2009 SC 647 = (2009) 1 SCC 210 [74832153] Supreme Court	While arrears create no charge on the property, a distributor may lawfully stipulate, as a condition of a fresh connection, that the previous occupant's arrears be cleared, where its statutory rules/regulations or terms of supply so permit.	Distinguished on the facts (no applicable authorising provision here) while affirming its general principle.	Court	Distinguished
<i>Ahmedabad Electricity Co. Ltd. v. Gujarat Inns Pvt. Ltd. and Others</i> (2004) 3 SCC 587 [28246] Supreme Court (Three-Judge Bench)	In case of a fresh connection, though the premises are the same, auction-purchasers cannot be held liable to clear arrears incurred by previous owners absent a specific statutory provision.	Followed.	Court	Followed
<i>Haryana State Electricity Board v. Hanuman Rice Mills, Dhanauri and Others</i> (2010) 9 SCC 145 [1336616] Supreme Court	Summarises the position: (i) electricity arrears create no charge on the property and in general law a transferee cannot be made liable for the previous owner/occupier's dues; (ii) where statutory rules or terms of supply expressly authorise it, the supplier can demand arrears from a purchaser seeking reconnection or a fresh connection.	Followed as the summarising statement of law.	Court	Followed

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